



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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ECONOMICS

Paper 1

6899/01

October/November 2025

2 hours

Candidates answer on the Question Paper.

Additional material: Calculator

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number in the spaces provided.

Write in dark **blue** or **black** pen.

You may use a soft pencil for any diagrams, graphs or rough working.

Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Answer **all** questions in Section A, B and C.

Section A has **ten** multiple-choice questions. For each question there are four possible answers **A, B, C** and **D**. Choose the one you consider correct and write the letter in the box to indicate the correct answer.

The number of marks is given in brackets [] at the end of each question or part question.

For Examiner's Use	
Section A	
Section B	
Section C	
Total	

This document consists of **13** printed pages and **3** blank pages.

Section A

Answer **all** questions.

1 What is an example of a free good?

- A** air
- B** defence
- C** donated food
- D** medical care

☐

[1]

2 Nothando made leather bags using hand tools, the government gave her a loan to buy a machine to increase her production.

Which factor of production increased?

- A** capital
- B** enterprise
- C** labour
- D** land

☐

[1]

3 What is the clearest case of market failure?

- A** overproduction of free goods
- B** overproduction of public goods
- C** underproduction of demerit goods
- D** underproduction of merit goods

☐

[1]

4 The Eswatini government decided to reduce value added tax, how will this decision affect supply of a good?

- A** It will contract.
- B** It will decrease.
- C** It will extend.
- D** it will increase.

☐

[1]

5 What does price elasticity of supply of zero (0) indicate?

- A Supply is inelastic.
- B Supply is perfectly elastic.
- C Supply is perfectly inelastic.
- D Supply is unitary.

☐

[1]

6 The table below shows the total cost of a firm. Each unit is sold for E20.

Quantity produced (units)	5	10	15	20
Total costs (E)	70	180	250	370

How many units will the firm produce to maximise profits?

- A 5
- B 10
- C 15
- D 20

☐

[1]

7 What is a macroeconomic aim of the government of Eswatini?

- A an increase in cost of living
- B an increase in national output
- C an increase in prices
- D an increase in unemployment

☐

[1]

8 The retail price index is 150, what is the inflation rate since the base year?

- A 50%
- B 100%
- C 150%
- D 250%

☐

[1]

- 9 How will an increase in income tax affect the standard of living and government revenue?

	Standard of living	Government revenue
A	decrease	decrease
B	decrease	increase
C	increase	increase
D	increase	decrease

☐

[1]

- 10 How will an increase in the value of a country's exchange rate affect its export and import prices?

	Export prices	Import prices
A	decrease	decrease
B	decrease	increase
C	increase	increase
D	increase	decrease

☐

[1]

Section B

Answer **all** questions.

- 1** Define the basic economic problem.

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..... [2]

- 2** State **two** wage factors that affect an individual's choice of occupation.

(i)

.....

(ii)

..... [2]

- 3** Explain what is meant by progressive tax.

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..... [2]

- 4** Define price elasticity of demand.

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..... [2]

5 Explain **two** functions of a stock exchange.

- (i)
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.....
.....
- (ii)
.....
.....
..... [4]

6 Analyse **three** harmful consequences of inflation.

- (i)
.....
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.....
- (ii)
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.....
.....
- (iii)
.....
.....
..... [6]

7 State **two** features of a public corporation.

- (i)
.....
- (ii)
..... [2]

8 Analyse **three** factors that cause fluctuations of an exchange rate.

(i)

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(ii)

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(ii)

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..... [6]

9 Explain **two** governmental initiatives in Eswatini used to develop entrepreneurial skills.

(i)

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(ii)

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..... [4]

Section C

Answer **all** questions.

1 A SOUTHERN AFRICAN COUNTRY

There is a beautiful and independent country in the Southern part of Africa. Its population is estimated to be around one billion. This country has one of the highest population growth rates in the world. In the last ten years, its population has increased by 100 million. If this growth rate continues it could become the world's most populated country by 2025. The government of the country is concerned about this population growth because it will cause a major strain on resources. The government has asked the relevant departments to come up with strategies to help reduce the rapid increase in population.

The government is now stimulating the economy by subsidising local firms so that production may be increased. This strategy has made some economists to be doubtful about this move as government expenditure has increased on the already high current spending. This country is also considering increasing tariffs on imports to increase local sales, however some people within government think that this might not be possible.

(a) Define imports.

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..... [2]

(b) Explain **two** influences that can increase output, other than the one mentioned in the extract.

(i)

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(ii)

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..... [4]

..... [6]

- [8]

2 ECONOMIC CRISIS IN AN AFRICAN COUNTRY

Most businesses in one of the African countries were affected by the outbreak of COVID 19; this includes small, medium and large enterprises. Most of the large businesses in this developing country are monopolies. This has raised government concerns as the country has also experienced inflation in the past number of years. This has affected household savings, spending and borrowing. Furthermore, COVID 19 has resulted in a loss of employment in some sectors of the economy. Economists have raised fears that the gap between the rich and the poor has widened.

(a) Define borrowing.

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..... [2]

(b) Explain **two** influences on saving.

(i)

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(ii)

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..... [4]

..... [6]

[8]

